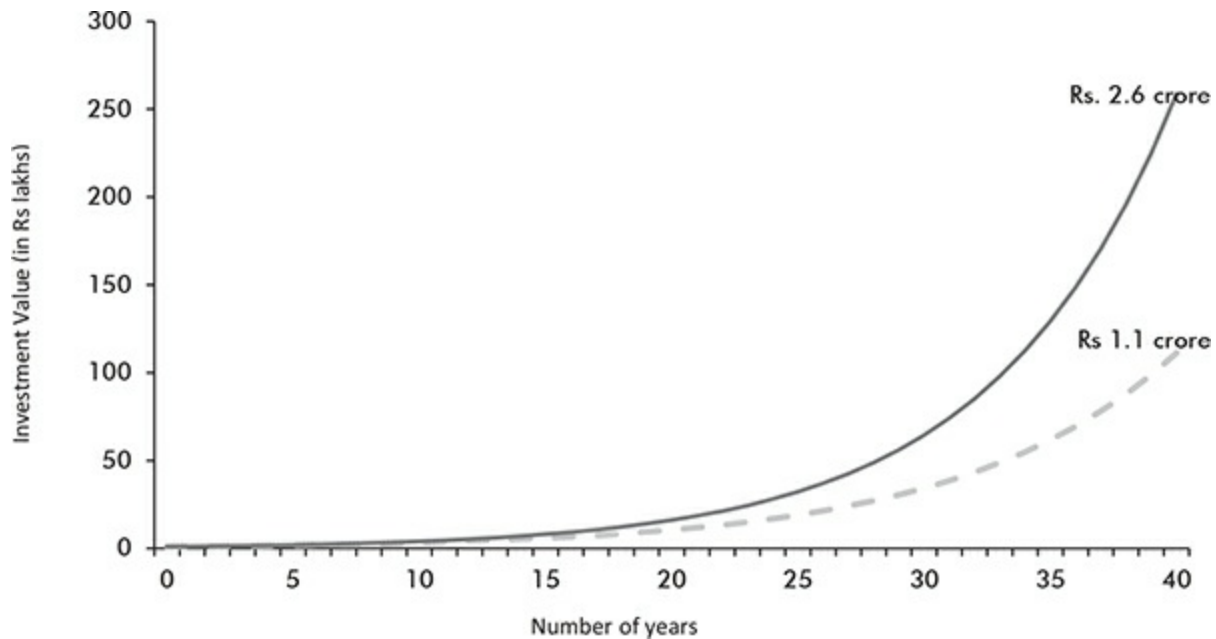


Exhibit 19: Expenses drag down returns significantly (initial corpus of Rs 1 lakh)



Source: Ambit Capital

The second fund's corpus exceeds that of the first fund by:

- 24 per cent after ten years;
- 53 per cent after twenty years;
- 89 per cent after thirty years; and
- 133 per cent after forty years.

A twenty-year-old who invests Rs 1 lakh when he/she starts working will get Rs 1.11 crore when they retire (at sixty) from the first fund which has a 2.5 per cent expense ratio. From the second fund, which has a 0.1 per cent expense ratio, he/she will get Rs 2.58 crore. That's more than double the corpus from the first fund!

These are not assumptions which we have plucked from thin air. Presently, most equity mutual funds have an annual management fee of 2.5 per cent. In